Branch Expansion: TWFE-2SLS

	First stage		Sample		Second stage		
Shock / sample	Big 4	KP F	Firms	Firm-years	Any failure	Fin restatement	Violation
Panel A: Full period							
Own province: all clients	0.019***	9.41	2,246	21,108	-0.018	-0.318	0.005
	(0.006)				(0.479)	(0.425)	(0.328)
Clusters: 2,246							
Own province: exclude largest	0.019***	9.68	2,229	20,924	-0.045	-0.307	-0.028
	(0.006)				(0.470)	(0.419)	(0.321)
Clusters: 2,229							
Own + neighbors: all clients	0.025**	4.70	1,161	9,740	0.657	0.731	-0.075
	(0.011)				(0.627)	(0.543)	(0.375)
Clusters: 1,161							
Own + neighbors: exclude largest	0.026**	4.87	1,144	9,575	0.553	0.688	-0.155
	(0.012)				(0.585)	(0.519)	(0.358)
Clusters: 1,144							
Panel B: Through 2012							
Own province: all clients	0.040***	11.54	1,470	10,211	0.524	0.183	0.289
	(0.012)				(0.390)	(0.268)	(0.260)
Clusters: 1,470							
Own province: exclude largest	0.042***	12.46	1,461	10,138	0.442	0.172	0.222
	(0.012)				(0.360)	(0.256)	(0.236)
Clusters: 1,461							
Own + neighbors: all clients	0.028***	6.84	1,176	9,149	0.637	0.600	-0.033
	(0.011)				(0.523)	(0.436)	(0.321)
Clusters: 1,176							
Own + neighbors: exclude largest	0.029***	7.46	1,159	8,979	0.518	0.538	-0.124
	(0.011)				(0.477)	(0.407)	(0.303)
Clusters: 1,159							

Controls: size, leverage, loss, ROA, Z-score, change in leverage, report lag, CFO, age, and nine missing indicators.
Fixed effects: firm and industry × year. Standard errors: clustered by firm.

Notes: Each row reports a separate instrument/sample specification. The first-stage column reports the exposure coefficient for current-year Big 4 appointment; the three right-hand columns report the instrumented Big 4 coefficient. All outcomes are joint indicators of failure and a non-modified audit opinion (MAO=0); Fin is the financial-restatement definition. Coefficients and standard errors use raw 0/1 units. The first stage is identical across the three outcomes within each row. Exposed firms retain event years −5 through +5; never-exposed firms retain all eligible years. First stage, reduced form and 2SLS use the same observations. KP F is the Kleibergen–Paap statistic. Coverage is the first entry of any Big 4 in the own province, or in the own/adjacent provinces. Firms whose exposure cohort changes with location are removed in each spatial design. Largest-client exclusions follow the saved pre-entry domestic-audit-fee lists; all years of listed firms are removed. Panel B requires all included outcome years to be no later than 2012. Standard errors are in parentheses; stars use conventional clustered inference. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Weak-instrument confidence sets for DID-IV are available in the accompanying workbook.